will give a picture of how you spend your money and will help you plan your spending

- Determine the amount that will be required for fixed expenses. These items include rent, utilities, insurance payments, direct taxes such as property and wage, car payments and other instalment payment. List them and plan how much money to spend for them
- Then estimate the cost of other necessary expenses such as food, clothing, transportation, health care and personal care
- The remainder of the income must cover all other items in the budget. These are the items that represent a person's particular interests and desires such as education, recreation, contributions, hobbies, gifts and savings
- Do not make the mistake of planning to save money that is left over. It is improbable that anything will be left to save. Plan the amount that you intend to save at the same time you budget all other items
- Record your individual budget plan – don't trust memory

4.7 Clothing Budget

A budget is a detailed plan of operations for some specific future period. Clothing budget helps to plan and control the income and expenditure. There is a close relationship between the family income and the expenditure on clothing. Budgeting helps a household to spend money carefully. It is an intelligent guide to spending. It balances the future and the present wants, making suitable allocations for spending and saving.

4.7.1 Clothing Budget for a Family

Clothing the family can be expensive especially when the children are in growing stage. The budget will help to restrict from impulse buying and buy when family absolutely needs them. It is best to invest in few garments that can be matched with that existing one in the wardrobe and that can be worn in a variety of styles.

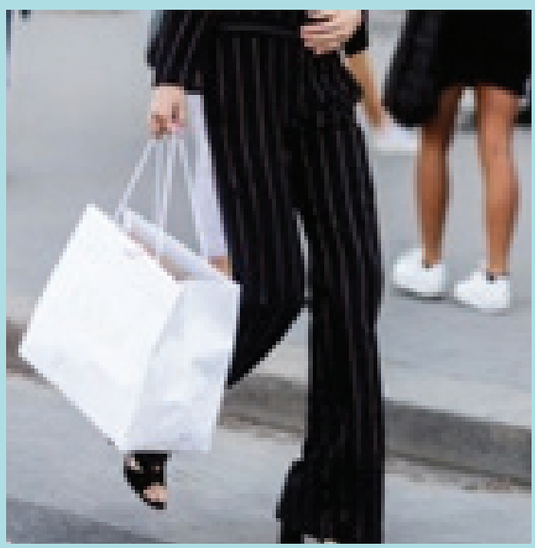
Should take advantage of end-of-season clearance sale especially winter clothes-one can find discount sale of winter clothing at the end of March or April and summer sale at the beginning of August and September. During this time if we purchase clothing for teenagers and older children one can find significant savings.

DO YOU KNOW?

How much you should spend on your clothing?

You can spend 5% of your monthly income on clothing. To find the exact amount you should be spending per month, multiply your take-home pay by 0.05.

For example, if your monthly take-home pay is Rs.3000, you should spend around Rs.150 per month on clothing.



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